Decision-Making Transparency and Individual Accountability

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Note

Introduction

Decision-making transparency is a defining feature of FPAS Mark II. It strengthens credibility by showing how individual policymakers interpret risks, how they apply the least-regrets mindset, and how their votes shape policy outcomes.

For the Central Bank of Armenia, institutionalizing decision-making transparency and individual accountability marks a major step toward world-class monetary policy governance.

1. Why Individual Accountability Matters

Under FPAS Mark II, accountability applies not only to the institution but to individual Board members. Accountability builds trust because it allows the public to see:

- who supported which decision,
- why they supported it,
- how their reasoning fits within the FPAS Mark II framework.

Clear accountability incentivizes:

- disciplined analysis,
- transparent reasoning,
- coherence in communication.

It reinforces credibility by demonstrating that decisions are deliberate and aligned with the Bank's mandate.

2. Transparency Report

A modern central bank cannot sustain credibility without clear and timely transparency about how decisions are made. Under FPAS Mark II, the Central Bank of Armenia has placed particular weight on decision-making transparency—not as a communications accessory, but as a core requirement for good governance. Transparent decision-making helps reduce policy uncertainty, anchors expectations, strengthens institutional credibility, and reinforces the Bank's accountability to the public it serves. It also safeguards independence by making the policy process open, structured, and clearly explained.

For these reasons, the CBA ensures that key transparency materials are released with minimal delay. Nearly all decision-related documents are published on the same day as the policy decision, providing the public, markets, and analysts with a full and immediate view of the Board's reasoning.

At the center of this effort is the **Transparency Report**, released at 18:00 on every decision day. It consolidates the main elements of decision-making accountability. The framework rests on several pillars:

- **Attributed Minutes of Board Deliberations** *(Introduced March 2024:* For each policy meeting, the CBA publishes minutes summarizing the issues discussed by the Board and the key analytical points presented by staff. Unlike many central banks that release anonymous or consensus-style minutes, the CBA attributes arguments to individual Board members. This allows the public to see the range of perspectives expressed, understand the sources of disagreement, and follow the logic that led to the final vote. The approach reflects the governance structure of the CBA, in which policy decisions are determined by individual votes rather than by a single decision-maker.
- **Attributed Votes** *(Introduced June 2024):* The Transparency Report includes a full record of how each Board member voted. Publishing attributed votes has become common among the most transparent inflation-targeting central banks. It reinforces personal accountability and gives the public a clear picture of the decision-making dynamics within the Board.
- **Vote Explanations** *(Introduced September 2024):* Alongside their votes, Board members submit a short-written explanation outlining the reasoning behind their preferred policy action. These "vote explanations" illustrate how each member applies the least-regrets principle, which risks they judge most relevant, and how they see the current balance of risks evolving. Because Board members often arrive at the same policy decision for different reasons, the explanations provide

important nuance and help the public understand the diversity of views within the Board.

- **Full Transcripts (Published with a 12-Year Lag):** In line with the CBA's long-term transparency commitments, full transcripts of monetary policy deliberations—complete with named attributions—will be published after a 12-year delay. These transcripts will include the internal materials used in each round, including Board members' Initial Macroeconomic Risk Assessments. This delayed publication balances transparency with the need to protect the candor of internal discussions.

3. Full Suite of External Communications on Decision Day

Decision day follows a structured timeline designed to ensure that all relevant information becomes public within hours:

- **12:00** – The policy decision and Executive Monetary Policy Statement are published. On MPR rounds, the Monetary Policy Report is released at the same time.
- **14:00** – The Governor's press conference is held, accompanied by presentations.
- **18:00** – The Transparency Report is published, including minutes, attributed votes, and vote explanations.
- **Next day** – A technical briefing is held with analysts.

Social-media updates are posted throughout the day to ensure wide dissemination.

4. Annual Calendar of Decision Dates

Each November, the CBA releases a three-year calendar of monetary policy decision dates. The calendar also specifies when communications materials—such as the MPR, the Transparency Report, and the technical meeting—will be published. This predictability reinforces accountability and helps market participants plan ahead.

5. Pre-Decision Blackout Period

To prevent information asymmetries and ensure fairness, all staff involved in monetary policy and all Board members observe a seven-day blackout period before each decision. During this time, they refrain from public commentary on monetary policy, including media appearances and social-media discussions.

Conclusion

Decision-making transparency and individual accountability form a cornerstone of FPAS Mark II. By publishing votes, explanations, and attributed minutes, the Central Bank of Armenia demonstrates its commitment to disciplined reasoning, openness, and credible policymaking under uncertainty.

This strengthens trust, anchors expectations, and enhances the effectiveness of monetary policy.

Literature & Further Reading

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Script

Hello everyone, I’m Susanna Grigoryan from the Central Bank of Armenia and a Level One student at the Global Forecasting School. In this session, we turn to one of the defining features of FPAS Mark II: decision-making transparency and individual accountability.

Under FPAS Mark II, transparency is not an add-on. It is a core element of how we maintain credibility, guide expectations, and uphold our responsibility to the people of Armenia. A central bank that makes decisions behind closed doors cannot expect the public to trust those decisions. For that reason, the CBA has designed one of the most transparent monetary policy processes in the world, where nearly all decision-related materials are published on the same day as the policy announcement.

At the heart of this system is the Transparency Report, released at 18:00 on every decision day. It consolidates all the materials that explain how the decision was made, what arguments were considered, and how each Board member voted. Let’s walk through the key elements.

First, attributed minutes.

Since March 2024, the CBA has published minutes of each monetary policy meeting with the views of Board members clearly attributed. These minutes summarize the main analytical points presented by staff and the arguments expressed by each Board member. This approach gives the public a clear understanding of the range of perspectives that shaped the decision.

Second, attributed votes.

Beginning in June 2024, each Board member’s vote has been publicly disclosed. Because the Board operates by individual voting rather than by a single decision-maker, this step is essential for accountability.

Third, vote explanations.

Since September 2024, each Board member must provide a short written explanation of their vote. These paragraphs reveal the “least-regrets” logic behind each position: which

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risks each member judged most important, and how those risks influenced their preferred policy stance. Even when two members vote the same way, their underlying reasoning may differ, and the vote explanations make this transparent.

Fourth, full transcripts.

To support long-term accountability, full transcripts of monetary policy meetings—including all Board interventions and internal documents—will be published with a 12-year lag. This allows the institution to maintain frank internal debate while ensuring that the public can ultimately examine the full historical record.

Fifth, same-day communication.

Decision day follows a strict timeline to ensure that all relevant information is released promptly.
At 12:00, the policy decision and the Executive Monetary Policy Statement are published. On MPR rounds, the Monetary Policy Report is released at the same time. At 14:00, the Governor holds the press conference. And at 18:00, the Transparency Report is released, including the minutes, attributed votes, and vote explanations. The following day, we hold a technical briefing with analysts.

Sixth, the annual calendar. Each November, we publish a three-year schedule of monetary policy decision dates, along with the planned release of all associated communication materials. This predictability helps markets, analysts, and the public prepare for the policy cycle.

And finally, the blackout period. To prevent information asymmetries and ensure fairness, all staff involved in monetary policy—and all Board members—follow a seven-day blackout period before each decision. During this time, they refrain from public commentary or media engagement on policy issues.

All of these elements reinforce a simple principle: transparency and accountability strengthen the effectiveness of monetary policy. By clearly showing how decisions are made, how individual judgments differ, and how risks are assessed, the CBA builds trust, supports expectations, and enhances the credibility of the inflation-targeting regime.

I would like to thank **Douglas Laxton**, **Jared Laxton**, **Asya Kostanyan**, and **Sopio Mkervalidze** for their guidance and support in helping me prepare this video.

Thank you for joining this session, and I look forward to seeing you in the next one.